financial and economic conditions went into turmoil, India could not expect to remain an oasis of calm.

I thought it was my responsibility to disseminate this message in the larger public domain. I did so at every possible opportunity, especially while speaking to students. But as I asserted this, I also had to be prepared for a logical follow-up question. If India had to suffer global convulsions because of integrating into the world economy, wouldn't we be better off withdrawing from globalization?

The important point is that globalization is a double-edged sword; it offers immense opportunities but also poses ruthless challenges. Nothing illustrated this more strikingly than the global financial crisis.

Recall that in the years before the crisis—during the Great Moderation spanning roughly twenty years till 2008—the world saw steady growth in advanced economies and accelerating growth in emerging and developing economies, and low and stable inflation all around. More than anything else, this was a consequence of globalization—in particular, a dramatic expansion in global trade coinciding with a period of tremendous boost to world production and productivity as a result of India and China joining the world labour markets.

If the Great Moderation was the positive side of globalization, the financial crisis of 2008–09 was its negative side. That a financial bubble in a quintessentially non-tradable sector like housing snowballed into a global financial crisis, taking a devastating toll on global growth and welfare, is a demonstration of the ferociousness of the forces of globalization.

It would be tempting, based on the experience of the crisis, to believe that India and also other emerging-market economies would be better off reverting to insularity. That would be like throwing away the baby with the bathwater, clearly a misguided response. Globalization comes with benefits and costs. Our response should be not to withdraw from the global economy but to learn to manage globalization in ways that will maximize its benefits and minimize its costs.